

LESSONS FROM THE VINTAGE YEARS

From a business standpoint, the fifteen years from 1954 through 1969 were a magnificent time for me, as most of the relatively few stocks I was holding advanced significantly more than did the market as a whole. Even so, I managed to make some bad mistakes. Successes came from diligent application of the approaches I have already spelled out. It is the mistakes that are more noteworthy. Each brought its own new lesson.

Good fortune can breed laxness. The mistake which now embarrassed me the most, although it was not the most costly, arose from the careless application of a sound principle.

In the early 1960's, I had technological investments that were proving quite pleasing in the electronic, chemical, metallurgical, and machinery industries. I did not have a comparable investment in the promising drug field, and started seeking one. Along the way, I talked to a medical specialist who was preeminent in his field. At the time, he was tremendously excited about a new drug family about to be introduced by a small Midwestern manufacturer. These drugs he felt could have quite favorable impact on the future earnings of this firm relative to others in this field. The potential market seemed very, very exciting.

I then talked to just one of the officers of this company and to only a few other investment people, all of whom were equally excited about the potentials of this new drug. Unfortunately, I did not pursue my standard checks either with other drug companies or with other experts knowledgeable in this particular specialty to see if they might have contrary evidence to offer. Regretfully, I subsequently learned, none of the proponents had made a thorough investigation either.

The stock was selling at a price well above its worth before considering the benefits of this new family of drugs, but at a price which could have been but a minor fraction of potential value if the new drugs were all their supporters imagined. I bought the shares only to see them drop, at first a mere 20 percent and then over 50 percent. Ultimately the whole company was sold for cash at this low price to a large nonpharmaceutical corporation seeking to enter the drug field. Even at this price, now somewhat less than